

Investment Credit Memorandum

Pinecrest CLO 2025-1 | Helios Telecom, Inc. | 24 February 2025

1. Recommendation

Credit committee is asked to approve a \$8,000,000 allocation of the Helios Telecom, Inc. first-lien term loan into the Pinecrest CLO 2025-1 warehouse, and to roll that position into the CLO at closing. The borrower is Helios Telecom, Inc., headquartered in Dallas. The financial sponsor is Orion Capital Partners. Analyst: Ruth Kim. Committee chair: Andre Copeland. Portfolio manager: Maya Ellison, Falcon Tree Capital LLC.

Recommendation: Approve at a maximum par of \$8,000,000 (1.78% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Pinecrest CLO 2025-1 indenture. Moody's corporate family rating is B2. S&P issuer credit rating is B. The loan is US dollar denominated and is eligible collateral under the term sheet dated 6 March 2025.

2. Borrower and sponsor

Helios Telecom, Inc. operates in Telecommunications. The company is owned by Orion Capital Partners. Neither the sponsor nor the borrower is affiliated with Falcon Tree Capital LLC.

Related book names in Pinecrest CLO 2025-1 include Pinecrest Outdoor Co., Summit County Broadband. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Helios Telecom, Inc. first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Atlantic Wharf Bank is the warehouse lender to Pinecrest CLO 2025-1.

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4. Credit highlights and risks

Highlights: sponsor support from Orion Capital Partners, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicity in Telecommunications and add-on acquisition risk. Ruth Kim confirmed that Moody's industry classification for Helios Telecom, Inc. is 'Telecommunications'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B2. It uses 1.78 of the 2.00 percentage-point largest-obligor covenant. Maya Ellison confirmed the trade for Pinecrest CLO 2025-1.

If Helios Telecom, Inc. is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Pinecrest CLO 2025-1 indenture. U.S. Bank Trust Company, N.A. would reflect that classification on the next monthly trustee report. Falcon Tree Capital LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Falcon Tree Capital LLC approved the \$8,000,000 purchase for the Pinecrest CLO 2025-1 warehouse on 24 February 2025. Voting members: Andre Copeland (chair), Maya Ellison, and Ruth Kim. The trade will settle into the Atlantic Wharf Bank warehouse and be conveyed to Pinecrest CLO 2025-1, Ltd. on the closing date of 20 March 2025.